

FAQs –OTS-04

1. Which family of time-series models can be used to predict volatility?

One can use various models of volatility prediction like models that belong to the GARCH family (ARCH, EGARCH, FIGARCH, etc), stochastic volatility models, etc.

2. How do we measure the put-call ratio? What is its interpretation?

We can use **open interest (OI)** to calculate the **put-call ratio (PCR)**. To calculate it, divide the total open interest of all put option strikes by the total open interest of all call option strikes. The general interpretation of PCR is as follows:

- **PCR > 1**: Indicates bearish sentiment, as traders have opened more put positions than call positions.
- **PCR = 1**: Suggests neutral sentiment, with nearly equal interest in calls and puts.
- **PCR < 1**: Indicates bullish sentiment, as traders have opened more call positions than put positions.